Economics - Undergraduate Level Assessment 10 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. What is meant by "economic resources" or "factorsof production"? Name three categories of resources.
   (a) Capital, commodities, and currency
   (b) raw materials, human resources and technology
   (c) natural resources, artificial resources and human resources
   (d) Water, oil, and minerals
   (e) Intellectual property, workforce, and real estate
2. Potential GDP will fall ceteris paribus if
   (a) tariffs protecting domestic jobs are eliminated.
   (b) the literacy rate improves.
   (c) the tax rate is lowered.
   (d) the inflation rate decreases.
   (e) there is an increase in technological advancements.
3. Which of the following was not a landmark antitrust act?
   (a) The Antitrust Improvement Act
   (b) The Federal Trade Commission Act
   (c) The Clayton Act
   (d) The Sherman Act
   (e) The Fair Trade Act
4. The major economic argument for pure capitalism is that it providesmaximum economic efficiency. What is themajor noneconomicargument?
   (a) Capitalism results in single authority
   (b) Capitalism ensures job security
   (c) Capitalism fosters cultural diversity
   (d) Capitalism promotes personal freedom
   (e) Capitalism encourages moral responsibility
5. Inflation
   (a) stabilizes the value of currency over time.
   (b) has no impact on purchasing power.

(c) increases the real value of debt.
(d) encourages households to save more.
(e) forces households to save more.

True / False (10 marks)

Answer True or False

6. True or False: If the market price is above the average total cost, the industry will remain unchanged as firms exit the market.

7. True or False: When a nation is operating at the natural rate of unemployment, there is no cyclical unemployment present in the economy.

8. True or False: The demand curve for labor is derived from the equilibrium wage in the labor market.

9. True or False: According to Keynesian theory, a decrease in the money supply lowers interest rates, which discourages borrowing and reduces spending.

10. True or False: The bank's actual reserves amount to $30,000, which includes both required and excess reserves.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the role and significance of product differentiation in monopolistic competition, focusing on how it affects pricing power and market dynamics for individual firms.

12. In what ways does a progressive income tax contribute to economic stability, and how can this mechanism help mitigate the effects of economic fluctuations?

End of Paper